In India, the impact of this is significant, as the entire agrarian economy that self-consumes what it produces is excluded while calculating GDP, as is much of the informal economy.

Similarly, governmental corruption and overspending artificially inflate GDP. For example, if the government spends ₹500 crore for a bridge that should cost only ₹100 crore, GDP is inflated by ₹400 crore, which is actually a waste of money.

In addition to its limitations, GDP is complex to calculate, and countries across the globe have different methods to arrive at their country's GDP.

In India, the GDP number is calculated and published by the Central Statistics Office (CSO), under the Ministry of Statistics and Programme Implementation (MoSPI). The CSO collects data from various central and state government agencies and departments, and compiles this to calculate India's GDP. Till 2015, the GDP in India was calculated using two methods. The first method was based on economic activity (at factor cost), and the second was based on expenditure (at market prices).[5]

Though the GDP numbers from the two methods do not match precisely, they are usually close. The factor cost GDP helps in assessing the performance of different sectors of the economy, e.g., the performance of agriculture vs real estate, etc. The expenditure-based GDP calculations, on the other hand, offer an insight into the contribution of different parts of the economy to the GDP, e.g., domestic household consumption vs. government expenditure, etc.

In 2015, in a major overhaul of the way India's GDP was calculated, the CSO started measuring the country's economic growth by Gross Value-Added (GVA)[6] at basic prices, instead of measuring GDP at factor cost.

There were several reasons given for the move from GDP to GVA. A major reason stated was that the new method had been recommended by the United Nations System of National Accounts in